Tutorial 1 **Eco 501** **Time: 1 hr** **Answer any ONE**

Question No. 1 (10 + 10 = 20)

a) Define general equilibrium. In what respect it differ from the partial equilibrium. Examine with example.

b) Graphically explain the problems of existence, uniqueness and stability in connection to general equilibrium.

Question No. 2 (10 + 10 = 20)

a) Define externality. Examine its different types. How do externalities affect the general equilibrium solution in a 2 x 2 x 2 model? Explain.

b) Considering a 2 x 2 x 2 model examine how general equilibrium of production and exchange are determined simultaneously.

Question No. 3 (10 + 10 = 20)

a) Graphically explain how an external shock in the product market affects the factor market and the mechanism through which equilibrium is restored in both market.

b) Explain the consumption equilibrium in a simple general equilibrium model through Edgeworth box diagram.

Question No. 4 (7 + 6 + 7 = 20)

a) Are all points on the contract curve for exchange equally desirable from society's point of view? Why?

b) If $MRT_{XY} = 3/2$ while $MRS_{XY} = 2$ for individual A and B, should the economy produce more of X or more of Y to reach equilibrium of production and exchange simultaneously? Why?

c) Perfect competition leads to efficiency and Pareto optimum in production and exchange at a particular point in time but not over time. True or false? Explain.